Under supervisory function, RBI issues licence to banks. It issues policies and guidelines for management and method of working, amalgamation, reconstruction and liquidation of the banks. It calls for returns and information from the banks. It carries out periodical inspections of players in the money market.

As a part of supervisory function, RBI ensures transparency in the working of banking system. The recent initiative in this regard is **Base rate**, which was introduced on July 1, 2010. Base rate is the minimum rate below which banks cannot lend. For example, if IOB announces its base rate as 8 per cent, it cannot lend below 8 per cent to any of its customers. But each bank has right to fix its own base rate. The exception to this are the loans to Differential Interest Rate (DIR) scheme, loans to banks' own employees and loans to banks' depositors against their own deposits can be lent below the base rate.

2.2. Promotional Functions

RBI works towards promotion of the Indian financial system. It takes care of branch expansion and promotes banking habit of people. It establishes and promotes new specialised agencies.

Controller of Credit and Methods of Credit Control

The methods of credit control are of two types. One is Quantitative method and another one is Qualitative Method as shown in figure 7.2. Both methods use conventional and non-conventional measures or tools.

The conventional tools or measures are those which are being used for a long time. Non-conventional measures are those which have been introduced recently, say after the 1990s reform.